

CUSTOMER CHURN ANALYSIS

Executive Summary — Business Insights

June 2026 | Dataset: 500 Customers | 9 Features

1. Business Snapshot

10.6%

Churn Rate

53

Churned Customers

447

Retained Customers

6 mo

Avg. Tenure (Churned)

Our company faces a **10.6% churn rate** — 53 out of 500 customers have cancelled their services. Understanding the root causes of churn and identifying at-risk customers is critical for revenue retention and sustainable business growth.

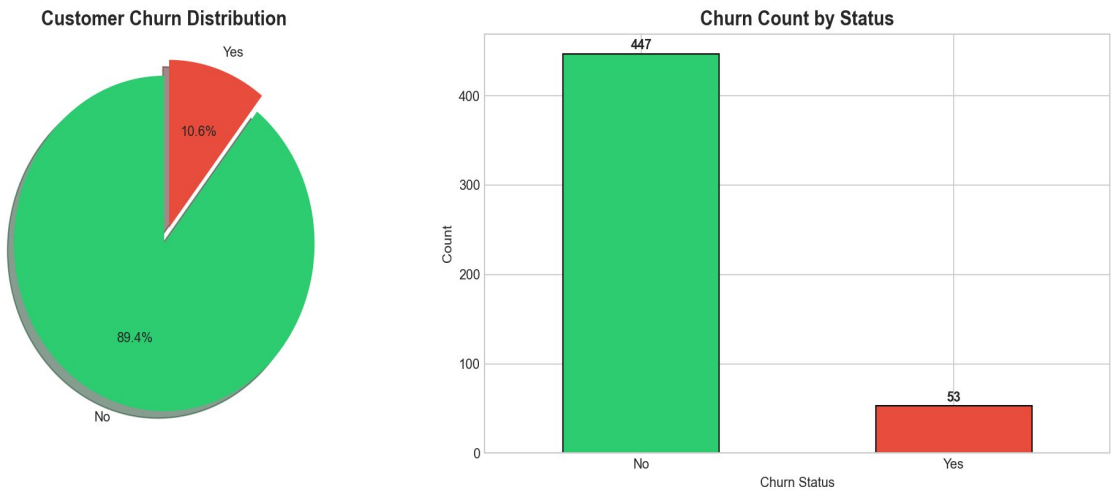


Fig 1. Customer Churn Distribution — 89.4% retained vs 10.6% churned

2. Key Findings

Finding 1: Contract Type is the Strongest Predictor

Contract Type	Churn Rate	Risk
Month-to-month	20.6%	HIGH
One year	4.3%	LOW
Two year	6.9%	LOW

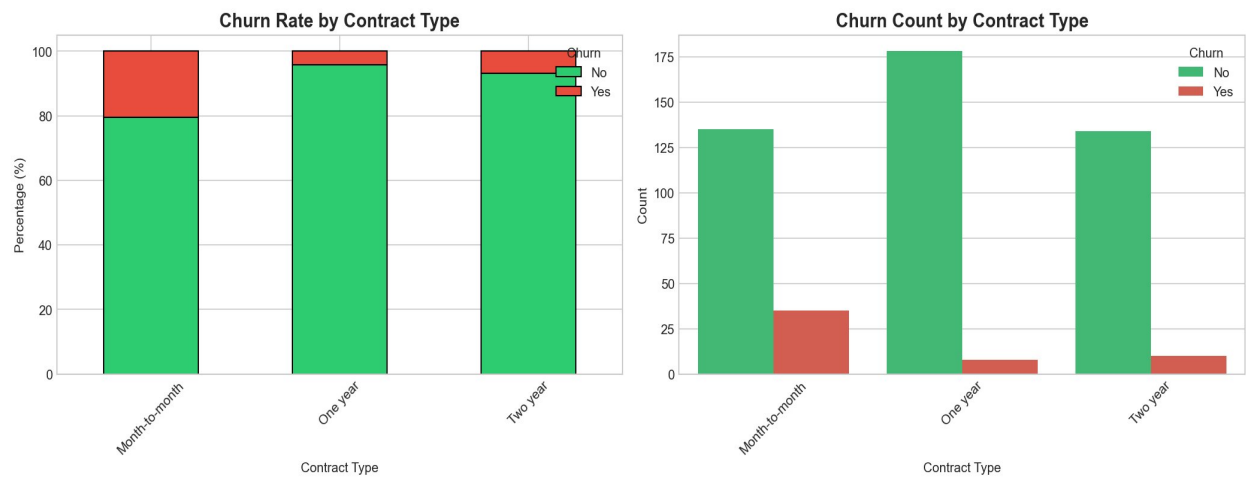


Fig 2. Churn Rate and Count by Contract Type — month-to-month contracts drive the majority of churn

Action: Offer incentives (10-15% discount or 2 months free) for customers to switch to longer-term contracts.

Finding 2: New Customers Are High-Risk

6 months

Avg. Tenure — Churned

40 months

Avg. Tenure — Retained

80%

Churned within Year 1

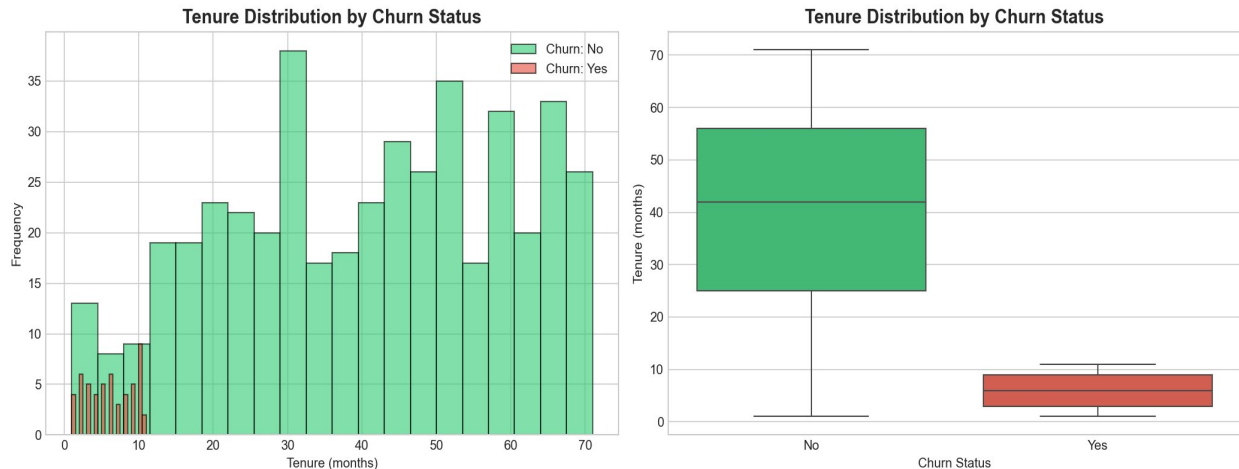


Fig 3. Tenure Distribution by Churn Status — churned customers cluster in the first 12 months

Action: Implement a First-Year Success Program with proactive onboarding and monthly satisfaction surveys.

Finding 3: Higher Monthly Charges Correlate with Churn

Churned customers pay an average of **\$129.77/month** vs **\$111.72/month** for retained customers — a **16% premium** that drives price sensitivity and cancellations.

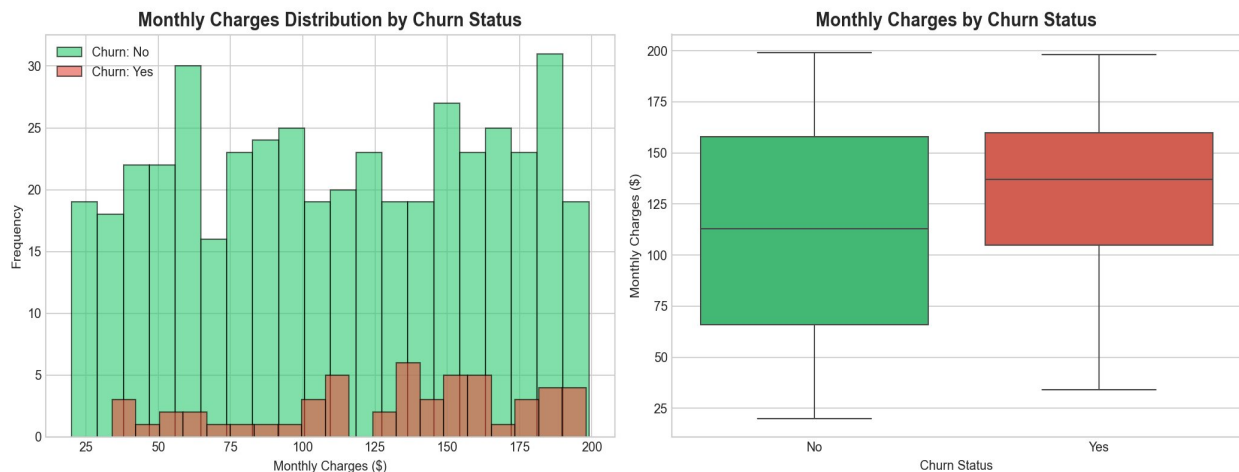


Fig 4. Monthly Charges Distribution by Churn Status — churned customers skew toward higher charges

Action: Review pricing strategy; offer loyalty discounts to high-charge, long-tenure customers.

Feature Importance Overview

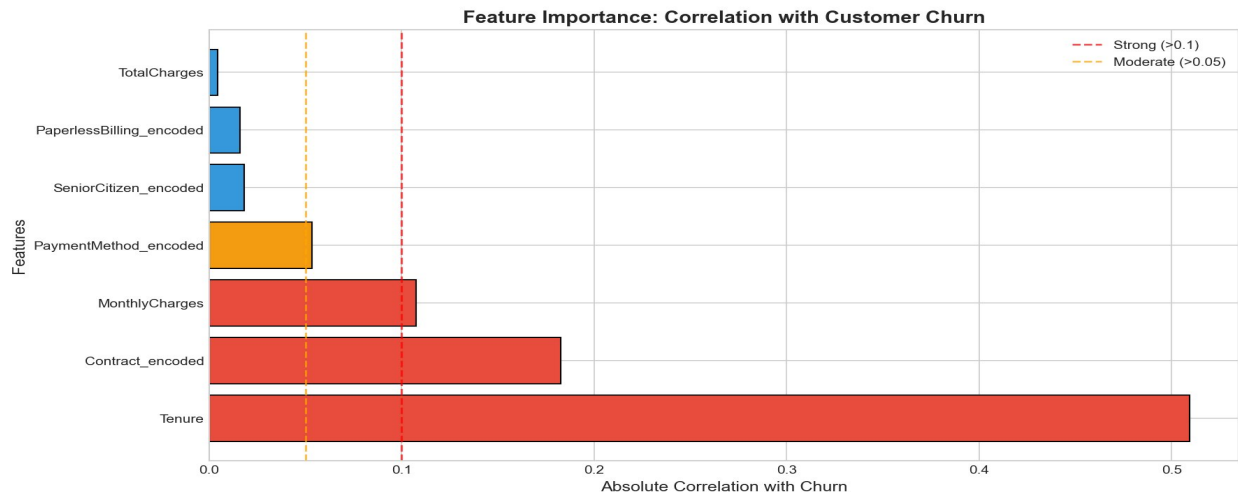


Fig 5. Feature Importance: Correlation with Customer Churn — Tenure and Contract Type dominate

3. Recommended Actions

IMMEDIATE (0–3 months)

- ✓ Launch 'Contract Upgrade' campaign — offer discounts for annual contracts
- ✓ Target all 170 month-to-month customers with a personalised outreach
- ✓ Create a 'First Year Success' program with dedicated onboarding support

SHORT-TERM (3–6 months)

- ✓ Implement a customer health score system
- ✓ Set up early warning alerts for at-risk customers (tenure < 12 mo)
- ✓ Create a retention offer portfolio with tiered discounts

LONG-TERM (6–12 months)

- ✓ Build a predictive churn machine learning model
- ✓ Establish customer segments with tailored retention strategies
- ✓ Continuous monitoring, reporting, and optimisation

4. Expected Business Impact

25%

Churn Reduction Target

~13/yr

Additional Customers Retained

\$50K–\$75K

Annual Revenue Saved

By reducing churn from **10.6% to 8%** — a 25% improvement — the company will retain approximately 13 additional customers per year, generating **\$50,000–\$75,000** in additional annual revenue and meaningfully improving customer lifetime value.

5. Conclusion

Contract Type and Tenure are the most significant drivers of customer churn. By converting month-to-month customers to longer-term contracts and implementing early-stage retention programmes, the company can significantly reduce churn and improve profitability. The statistical evidence is robust ($p < 0.001$) and the recommended actions are immediately actionable.